26SMCV03234 26SMCV03234

County: los-angeles

Division: Civil Law and Motion

Department: 205

Hearing date: 2026-08-26

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Case Number: 26SMCV03234 Hearing Date: August 26, 2026 Dept: 205

Superior Court of California

County of Los Angeles – West District

Beverly Hills Courthouse / Department 205

OLANZA SANDERS,

Plaintiff,

v.

TIKTOK, INC., et al.,

Defendants.

Case No.: 26SMCV03234

Hearing Date: August 26, 2026

[TENTATIVE] order RE:

defendant tik tok, inc.'s MOTION

TO COMPEL ARBITRATION AND STAY

PROCEEDINGS

BACKGROUND

This is an unfair practices case. Plaintiff Olanza Sanders is an artist who enrolled with Defendant SoundOn. SoundOn allegedly represented that it allows artists to: upload music to TikTok and streaming platforms, retain 100% royalties initially, gain exposure through TikTok's ecosystem, and be considered for advancement programs such as the Breakthrough Program.

Plaintiff purportedly relied on these representations in deciding to join SoundOn. Plaintiff claims these representations were false because: entry into the Breakthrough Program is "highly selective and discretionary, with undisclosed criteria"; "most users are not admitted into the program"; "many participants do not receive the promised promotional support", and "earnings are substantially lower than implied". As a result, Plaintiff claims he and similarly situated artists suffered economic injury, including "lost time, lost opportunities, and reduced income."

Based on the foregoing facts, Plaintiff has sued SoundOn for violation of Bus. & Prof. Code § 17200, false advertising and restitution/injunctive relief. Plaintiff has also sued Defendants Tiktok, Inc. and ByteDance Ltd., although the latter is not named in the caption of the Complaint and does not appear to have been served.

This hearing is on Tiktok's motion to compel arbitration. TikTok seeks to compel Plaintiff to arbitrate pursuant to an arbitration provision in a License Agreement Plaintiff signed via Docusign. The provision requires the arbitration of "[a]ny controversy or claim arising out of or relating to this Agreement or the breach thereof." (Ex. 1 to Perigoe Decl., License Agreement, Ex. A §1.) In the event its motion to compel arbitration is not granted, TikTok has also filed a demurrer to the Complaint.

LEGAL STANDARD

The¿Federal Arbitration Act ("FAA") applies to contracts that involve interstate commerce. (9 U.S.C. §§ 1,¿2). The term "involving commerce" as used in the FAA is construed¿broadly and functionally equivalent to activities "affecting"¿commerce. (Allied-Bruce Terminix Cos. v. Dobson¿(1995) 513 U.S. 265, 273-74;¿see also¿Citizens Bank v. Alafabco, Inc.¿(2003) 539 U.S. 52, 56-57¿(finding the requisite commerce for FAA coverage even when the individual transaction involving the plaintiff did not have a "substantial" effect on commerce). Here, the License Agreement governs the nationwide digital distribution of music across interstate and international platforms, which clearly implicates interstate commerce.

However, the License Agreement also states that "[t]his Agreement will be governed by and construed in accordance with the laws of the State of California without regard to the conflicts of law provisions thereof." TikTok does not address the circumstances here – where the choice of law provision provides that California law applies yet the contract involves interstate commerce, thereby triggering the application of the FAA. Regardless, the Court does not need to consider this issue because whether the FAA or the California Arbitration Act ("CAA") applies, the result will be the same.

As with federal law, under California¿law,¿public policy favors arbitration as an efficient and less expensive means of resolving private disputes. (Moncharsh¿v.¿Heily¿&¿Blase¿(1992) 3 Cal.4th 1, 8-9;¿AT&T Mobility LLC v. Concepcion,¿563 U.S. at 339.)¿ To further that policy, Code Civ. Proc. §1281.2 requires a trial court to enforce a written arbitration agreement unless it finds (1) no written agreement to arbitrate exists, (2) the right to compel arbitration has been waived, (3) grounds exist for rescission of the agreement or (4) litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues.

When seeking to compel arbitration, the initial burden lies with the moving party to demonstrate the existence of a valid arbitration agreement by a preponderance of evidence.¿ (Ruiz v. Moss Bros. Auto Group (2014) 232 Cal.App.4th 836, 841-42; Gamboa v. Northeast Community Clinic (2021), 72 Cal.App.5th 158, 164-65.)¿ It is sufficient for the moving party to produce a copy of the arbitration agreement or set forth the agreement's provisions.¿ (Gamboa, 72 Cal.App.5th at 165.)¿ The burden then shifts to the opposing party to prove by a preponderance of evidence any defense to enforcement of the contract or the arbitration clause.¿ (Ruiz, 232 Cal.App.4th at 842; Gamboa, 72 Cal.App.5th at 165.) The trial court then weighs all the evidence submitted and uses its discretion to make a final determination.¿ (Id.)¿

If the court orders arbitration, then the court shall stay the action until arbitration is completed.¿ (See Code Civ. Proc., § 1281.4.)

DISCUSSION

Agreement to Arbitrate

In ruling on a motion to compel arbitration, the Court must first determine whether there is an agreement to arbitrate. Under California law, a contract is valid if there are mutual assent and valid consideration. (DLLE v. Transpacific Trans. Co. (1977) 69 Cal. App. 3d 268, 274–75; Civ. Code § 1550.)

Here, Sanders assented to the Arbitration Agreement when he executed the TikTok License Agreement via DocuSign. (Perigoe Decl. Ex. 1, License Agreement at 4.) TikTok Technology Limited also signed the License Agreement. (Perigoe Decl. Ex. 1, License Agreement at 11.)

Of course, this suit is against TikTok Inc., not TikTok Technology Limited. TikTok argues, however, that the License Agreement expressly defines “TikTok Technology Limited” as extending to its “Affiliates,” which include “any parent corporation, subsidiary, affiliate, related corporation, licensee or sublicensee” of TikTok Technology Limited. (Perigoe Decl. Ex. 1, License Agreement at 1, § 2.a.i.) Then, TikTok Inc. states it is an affiliate of TikTok Technology Limited.

However, while their names may be similar, TikTok, Inc. has not submitted any admissible evidence that it is in fact an affiliate of TikTok Technology Limited. The only evidence submitted is the declaration of counsel who does not attest that the TikTok defendant is an affiliate of the TikTok signatory. As¿the moving party, TikTok has “the burden of establishing through¿admissible evidence¿that [the plaintiff] had agreed to arbitrate the dispute.” (Chambers v. Crown Asset Management, LLC¿(2021) 71 Cal.App.5th 583, 591.)

TikTok also argues it is an intended beneficiary of the Arbitration Agreement and may enforce it under third-party beneficiary and agency principles. This argument again presumes that TikTok is an affiliate of TikTok Technology Limited, which as stated above, is not supported by any admissible evidence.

Alternatively, TikTok argues that the doctrine of equitable estoppel independently permits TikTok Inc. to compel arbitration in this case because Sanders’ claims are intimately founded in and inextricably intertwined with the TikTok License Agreement. On this, the Court agrees.

While Sanders is not suing for breach of the License Agreement, his tort claims is rooted in his License Agreement with TikTok Technology Limited. As settled case law recognizes,¿ “a complaint sounding in tort will not in itself prevent arbitration if the underlying¿agreement embraces the disputed matter.” (Merrick v. Writers Guild of America, West, Inc.,¿supra, 130 Cal.App.3d at 219.) “A long line of California and federal cases holds that claims framed in tort are subject to contractual arbitration provisions when they arise out of the contractual relationship between the parties.” (Dryer v. Los Angeles Rams¿(1985) 40 Cal.3d 406, 418, fn. 12.) The Complaint acknowledges that Sanders’ claims are rooted in the License Agreement because it attaches a copy of the BreakThrough Addendum which makes clear it is an amendment to the License Agreement. (Ex. to Compl.)

Turning to the issue of consideration, TikTok agreed to offer access to SoundOn and the Breakthrough Program in exchange for Sanders’ agreement to arbitrate any claims arising out of or relating to that relationship. There was therefore valid consideration. (See Lagatree v. Luce, Forward, Hamilton & Scripps (1999) 74 Cal. App. 4th 1105, 1126 (mutual promise to arbitrate constitutes valid consideration); Strotz v. Dean Witter Reynolds, Inc. (1990) 223 Cal. App. 3d 208, 216 (“[T]he parties' mutual promises to forego a judicial determination and to arbitrate their disputes provide consideration for each other."), overruled on other grounds by Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394.)

In sum, there was both mutual assent and valid consideration, and therefore, the Court concludes the parties entered a valid contract to arbitrate under California law.

Scope of Arbitration Clause

By its terms, the Arbitration Agreement broadly encompasses "[a]ny controversy or claim arising out of or relating to this Agreement, or the breach thereof." (Perigoe Decl. Ex. 1, License Agreement at Exhibit "A" § 1.) "An arbitration clause that covers any claim arising out of or relating to the contract or the breach thereof 'is very broad.'" (See Dream Theater, Inc. v. Dream Theater (2004) 124 Cal. App. 4th 547, 554 n.1.)

Here, Plaintiff's claims, under California's UCL and FAL, all arise out of and relate to his use of SoundOn and submission for participation into the Breakthrough Program. According to Plaintiff, TikTok misrepresented the possible earnings potential of, and access to certain benefits or opportunities of, the Breakthrough Program and SoundOn. (Compl. ¶¶ 3, 10–14.) Such allegations "arise out of or relate to" the License Agreement's payment and royalty provisions (e.g., Perigoe Decl. Ex. 1, License Agreement at §§ 7-8), as well as the Breakthrough Program Addendum's discretionary track-selection terms (e.g., Perigoe Decl. Ex. 2, Breakthrough Program Amendment at § B.).

Sanders acknowledges that his claims are founded on the License Agreement because he attaches the Breakthrough Program Addendum to the License Agreement as an exhibit to his Complaint. Sanders thus cannot seriously dispute that each of his claims constitute a "controversy or claim arising out of or relating to" the TikTok contracts. (Perigoe Decl. Ex. 1, License Agreement at Exhibit "A" § 1.) Because there is a valid agreement to arbitrate and Plaintiff's claims are within the scope of the agreement, the Court compels arbitration of Plaintiff's claims.

Stay of Proceedings

The FAA provides that "[a] court in which [a] suit is pending, upon being satisfied that the issue involved in such suit or proceeding is referable to arbitration under such an agreement, shall on application of one of the parties stay the trial of the action until such arbitration has been had in accordance with the terms of the agreement[.]" (9 U.S.C. § 3.) The United States Supreme Court recently reaffirmed that a stay is required when a dispute is subject to arbitration and a party to the agreement requests a stay. (Smith v. Spizzirri (2024) 601 U.S. 472, 474.)

California law similarly provides that a court that "has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State . . . shall . . . stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate . . ." (Code Civ. Proc. § 1281.4; see also Tas-T-Nut Co. v. Cont'l Nut Co. (1954) 125 Cal. App. 2d 351, 358 (1954) ("[T]he statute specially enjoins the court, if the defendant seeks to claim the right to arbitrate, to stay the court action until arbitration has been accomplished[.]").

Accordingly, pursuant to both federal and California law, the Court will stay the action pending completion of the arbitration proceeding.

CONCLUSION

For the foregoing reasons, the Court GRANTS TikTok, Inc.'s motion to compel arbitration, stays the proceedings pending completion of the arbitration, and OVERRULES the demurrer as moot.

DATED: August 26, 2026 ___________________________

Edward B. Moreton, Jr.

Judge of the Superior Cou